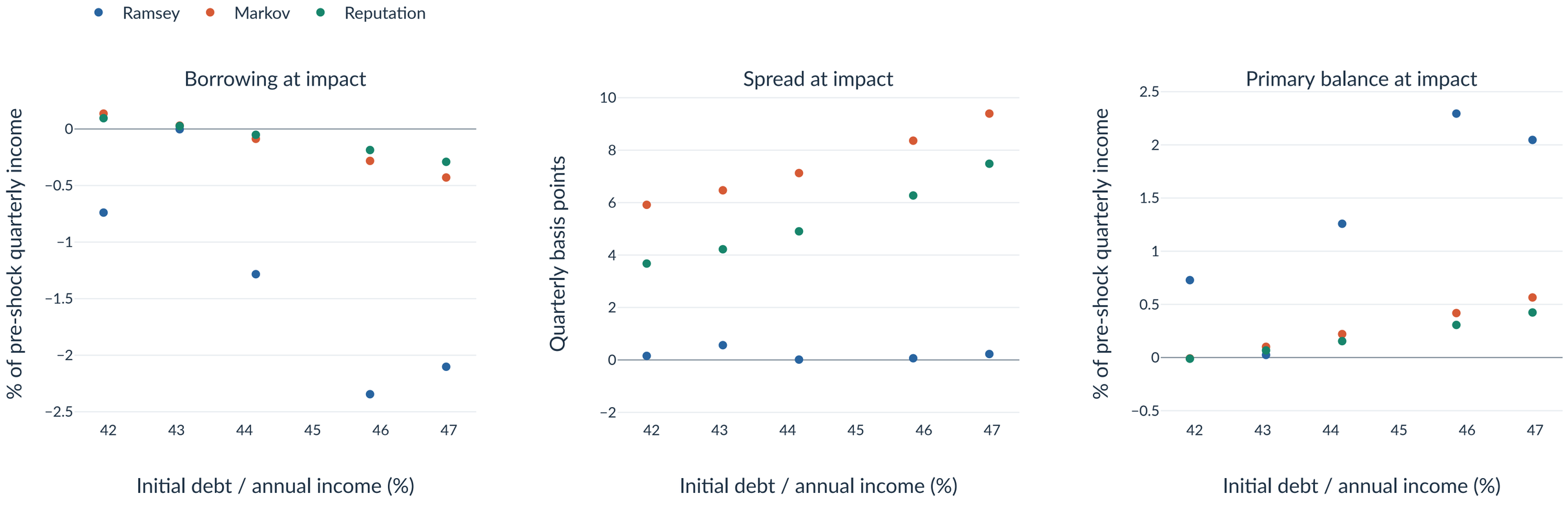
How initial debt changes the immediate response to the same income shock



Same 3.36% adverse income realization; 2,000 paired paths; changes from matched baselines. Dots are five simulated states; no interpolation across debt.
Reputation: strategic government, initial belief 50%. Ramsey preserves inherited promises and has no implementation noise.
Positive primary-balance response means fiscal tightening. Ramsey averages over debt-specific inherited promises; its debt pattern is irregular.